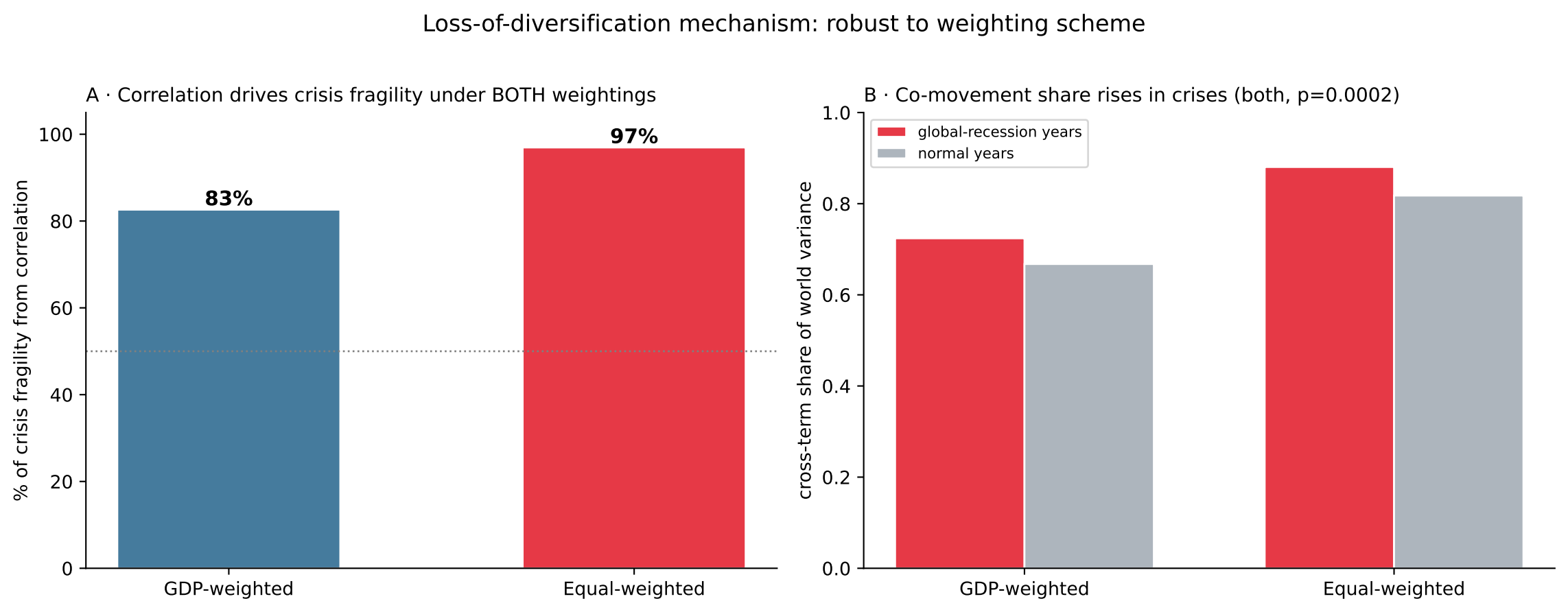
Loss-of-diversification mechanism: robust to weighting scheme
A · Correlation drives crisis fragility under BOTH weightings
% of crisis fragility from correlation
100
80
60
40
20
0
83%
97%
GDP-weighted
Equal-weighted
B · Co-movement share rises in crises (both, p=0.0002)
cross-term share of world variance
1.0
0.8
0.6
0.4
0.2
0.0
global-recession years
normal years
GDP-weighted
Equal-weighted